

GALLANT IAS ACADEMY
PRELIMS CUM MAINS BATCH 2027
ECONOMY
MODULE 4
NATIONAL INCOME

National Income denotes the total worth of all final goods and services generated within a country during a specific time frame, typically one financial year. It is utilized in evaluating per capita income, understanding inequality, and comparing growth across countries. It also forms the basis for fiscal policy formulation, taxation, and welfare schemes. In India, agencies such as the **National Statistical Office (NSO)** under the Ministry of Statistics and Programme Implementation (MoSPI) handle national income estimation.

CONCEPTS RELATED TO NATIONAL INCOME ACCOUNTING

Concept	Definition
Market Price (MP)	The price at which the product is sold in the market. Includes indirect taxes (added to selling price) and excludes subsidies received (deducted from selling price).
Factor Cost (FC)	The cost of factors of production incurred by a firm when producing goods and services. Excludes indirect taxes (not related to production) but includes subsidies received (direct inputs into production). FC = Market Price - Indirect Taxes + Subsidy
Nominal / Current Price	The market price of any good or service in the current year. Changes as per the current level of inflation since inflation is included.
Base / Constant Price	The market price of any good or service in the base year. Used as the reference year to compare National Income across various years.
Depreciation	Also known as Consumption of Fixed Capital. Refers to the loss in value of fixed assets due to wear and tear, accidental damages, and obsolescence.
Net Factor Income from Abroad (NFIA)	Difference between factor income (rent, wages, interest, profit) earned by normal residents of India temporarily residing abroad and factor income earned by non-residents temporarily residing in India. NFIA = Factor Income from Abroad to India - Factor Income from India to Abroad
Transfer Payments	Unilateral payments corresponding to which there is no exchange of goods or services. Examples: scholarships, gifts, donations. Transfer payments are not included in National Income (NI).

Capital Output Ratio (COR)	Amount of capital (investment) needed to produce one unit of output. Reflects the level of efficiency in an economy. Higher COR = more capital required to produce = less efficiency.
Incremental Capital Output Ratio (ICOR)	An additional unit of capital (investment) needed to produce an additional unit of output. ICOR = Incremental Capital ÷ Incremental Output

MEASURES OF NATIONAL INCOME

1. Gross Domestic Product (GDP)

It is the money value of all final goods and services produced within the **domestic territory** of the country during a specified period. In India, we consider the financial year. We calculate it quarterly or half-yearly also.

Domestic Territory of a Nation Includes:

- Territory lying within the geographical boundaries including airspace and territorial waters of a country (12 nautical miles from the coast).
- Ships including fishing vessels, and aircrafts operated by residents of the country (in our case Indians) across different parts of the world. Thus if you are inside an Indian Aircraft at the Doha Airport, you would still be inside India's domestic territory.
- Military Base, Oil Rigs, and Natural Gas fields of a resident country operating in a foreign country.
- Diplomatic missions like embassies and consulates and military establishments of a country located abroad. Therefore the Indian Embassy in Washington DC is a part of our domestic territory.
- **Please note that domestic territory DOES NOT INCLUDE individual property or private companies in foreign countries.**

Key GDP Concepts

Concept	Definition / Formula
GDP at Market Price	Includes indirect taxes but excludes subsidies.
GDP at Factor Cost	= GDP at Market Price - Indirect Taxes + Subsidies
Net Domestic Product (NDP)	= GDP - Depreciation
Potential GDP	Maximum output that a country can produce using the available capital and labour. Taken at constant inflation rate.
GDP Gap	Difference between Potential GDP and Actual GDP. Can be positive or negative.
Negative GDP Gap (Recessionary Gap)	When actual GDP is below Potential GDP - economy not operating at full capacity. Happens during economic downturns or recessions.
Positive GDP Gap (Inflationary Gap)	When actual GDP is above Potential GDP - economy producing beyond its capacity. Can lead to increased demand and inflation.

Real GDP	Total value of all goods and services produced in a given year, expressed in constant prices / base year's prices. ie GDP adjusted for inflation. Real GDP = GDP at Constant Price
Nominal GDP	Total value of all goods and services produced in a given year, expressed in current market prices. Includes inflation. Nominal GDP = GDP at Current Price
GDP Deflator	= (Nominal GDP ÷ Real GDP) × 100 An economic measure of inflation.

2. Gross National Product (GNP)

GNP measures the total value of all final goods and services produced by the **nationals of a country**, whether the production took place domestically or abroad, within a specific period.

GNP = GDP + Factor Income from Abroad to India - Factor Income from India to Abroad = GDP + Net Factor Income from Abroad (NFIA)

Net National Product (NNP) = GNP - Depreciation

NNP at Factor Cost is the National Income.

$NNP_{fc} = NNP_{mp} - \text{Indirect Taxes} + \text{Subsidy}$ (also written as $NNP_{fc} = NNP_{mp} - NIT$)

$\text{Net Indirect Taxes (NIT)} = \text{Indirect Taxes} - \text{Subsidies}$

3. Domestic Income

Income generated (or earned) by factors of production within the country from its own resources is called domestic income or domestic product. Domestic income includes: (i) Wages and salaries, (ii) rents, including imputed house rents, (iii) interest, (iv) dividends, (v) undistributed corporate profits, including surpluses of public undertakings, (vi) mixed incomes consisting of profits of unincorporated firms, self-employed persons, partnerships, etc., and (vii) direct taxes.

4. Private Income

Private income is income obtained by private individuals from any source, productive or otherwise, and the retained income of corporations. It can be arrived at from NNP at Factor Cost by making certain additions and deductions.

Private Income = National Income (NNP at Factor Cost) + Transfer Payments + Income from domestic product accruing to Public Sector + Interest on public debts + Net Factor Income from Abroad

5. Personal Income

Personal income is the total income received by the individuals of a country from all sources **before payment of direct taxes** in one year.

Personal Income = National Income - Undistributed Corporate Profits - Corporate Taxes - Social Security Contribution + Transfer Payments + Interest on Public Debt

Also: **Personal Income = Private Income - Undistributed Corporate Profits - Corporate Taxes**

6. Disposable Income

Disposable income or personal disposable income means the actual income which can be spent on consumption by individuals and families. Since personal income is the income that accrues before direct taxes are paid, direct taxes are deducted from personal income to obtain disposable income.

Disposable Income = Personal Income - Direct Taxes

But the whole of disposable income is not spent on consumption; a part of it is saved. Therefore: **Disposable Income = Consumption Expenditure + Savings**

Why is NNP at Factor Cost considered National Income but not GDP?

NNP at Factor Cost is considered national income because it represents the total income earned by residents of a country from their factors of production, excluding the effects of indirect taxes and subsidies. This provides a clearer picture of the actual income earned by a nation's residents, unlike GDP which includes indirect taxes, subsidies, and depreciation. It provides a more accurate representation of the income earned by residents because it removes the impact of government intervention through taxes and subsidies, and focuses on the income generated by the productive factors themselves.

METHODS TO CALCULATE NATIONAL INCOME

Method	Description	Formula / Key Point
Income Method	Calculates national income by summing all incomes earned by factors of production (land, labour, capital, entrepreneurship) within a country during a fiscal year. Includes wages, rent, interest, and profits.	Sum of: Wages + Rent + Interest + Profit
Expenditure Method	Estimates national income by summing the final spending on goods and services by households (consumption), firms (investment), governments, and net exports. Reflects total aggregate demand.	GDP = C + I + G + (X - M)
Value Added / Production Method	NI is computed by adding the values of output produced by the different sectors. Only the value added by each firm in the production process is taken into account. Avoids double-counting.	GVA = Value of output - Value of intermediate consumption GVA = GDP + Subsidies - Taxes

GVA vs GDP

GVA gives the picture of the economy from the producer's side or supply side. **GDP** gives it from the consumer's side or demand side.

- GVA is considered a better gauge of the economy. GDP fails to reflect the real economic scenario. GDP can increase just because taxes rise, even if production has not changed.
- A sector-wise breakdown provided by GVA helps policy makers decide which sectors need incentives or fiscal stimulus.

Why is GDP used to compare economies of the world rather than GVA or National Income?

- It is a comprehensive and standardized indicator of a country's economic size and productivity. Easy to compare across countries because it reflects the demand side of

the economy.

- GDP is the most widely accepted and reported measure by global institutions like the IMF, World Bank, UN. Global comparisons, rankings (like GDP per capita) and international lending decisions are based on GDP because of its uniformity.
- GDP is calculated at market prices, including taxes and excluding subsidies. It shows what people are willing to pay, and thus captures consumer behavior, inflation, and government policy impact.
- GDP data is available quarterly, while GVA and National Income are more complex and usually reported annually. GDP aggregates are produced more quickly and reliably using existing economic data.
- All major international reports, like global GDP rankings and growth projections, use GDP. Countries' credit ratings and investment attractiveness are also based on GDP growth.

CHANGES IN METHODOLOGY OF CALCULATION OF GDP: PRE-2015 AND POST-2015

Aspect	Before 2015	After 2015
Base Year	2004-05	2011-12
Standard used	Old National Accounting norms	Adopted UN's System of National Accounts (SNA) 2008 - internationally accepted
GDP measured by	Factor Cost	Market Price
Data Sources	Outdated like IIP, ASI etc	MCA-21 database, which includes real-time financial data from registered companies
Coverage of Services	Smaller coverage, especially of the unorganised sector	Improved coverage using effective sampling and surveys
Estimation of Manufacturing Output	Based on Index of Industrial Production (IIP)	Based on corporate financial data (MCA-21) - more accurate
Price Indices Used	WPI	CPI

LIMITATIONS OF CALCULATING NATIONAL INCOME

- **Non-monetised Transactions:** Many goods and services - like household chores or barter exchanges - go unrecorded, making it extremely difficult to assign accurate monetary values in national income accounting.
- **Income from Informal or Illegal Activities:** Earnings from the underground economy - such as black-market transactions or illicit trades - are typically unreported, leading to significant underestimation in official national income figures.
- **Double Counting of Goods and Services:** Including intermediate goods alongside final products inflates economic values; distinguishing them reliably is complex, risking overestimation of national income.
- **Difficulty in Assessing Depreciation:** Accurately estimating capital wear-and-tear is challenging, with varying rates and values for different assets, often resulting in misleading net income calculations.

BASE YEAR REVISION

In June 2024, MoSPI set up a **26-member Advisory Committee on National Accounts Statistics (ACNAS)** to decide the base year for GDP data, under the chairmanship of **Biswanath Goldar**. It also focused on aligning GDP with other key macro indicators such as the WPI, CPI, and IIP.

India has shifted the GDP base year to **2022-23**, integrating improved data sources and refined methods such as double deflation and the SUT framework. This is the **8th revision since 1947**. The first time was in 1956 with the base year 1948-49. The last revision was in 2015 with 2011-12 as the base year. The base year of the new CPI series is **2024**. The latest Household Consumption Expenditure Survey (HCES) 2023-24 is used for updating item basket and weights of CPI 2024 series.

Key Methodological Improvements in the New Series

1. Double Deflation Method

Double deflation (separate adjustment of output and input prices) is now applied in manufacturing and agriculture, while **single extrapolation** (estimating growth using a single output indicator) is used in other sectors. Single deflation method has been discontinued.

2. GDP Deflator

The new series of **Wholesale Price Index (WPI)** with base 2011-12 is effective from April 2017. WPI captures the average movement of wholesale prices of goods and is primarily used as a GDP deflator. Currently there are 180 level data indicators used. This will be made 600 under double deflation method for price adjustments. The **Ramesh Chand Panel** has been appointed to consider revision of base year and to develop a road map for switching from WPI to the **Producer Price Index (PPI)**.

3. Supply and Use Table (SUT) Framework

Under this method, national accounts data will be integrated with the SUT table which will reduce the discrepancies. MoSPI says the Production Method is more credible and has introduced a component of discrepancy for calculation under the expenditure method. SUT will have all data regarding the inputs provided to the manufacturers and where the product is sold (domestic market or foreign market).

4. Informal Economy

Hereafter will be calculated on the basis of survey rather than the use of proxies. Household sector estimates will be based on surveys such as **ASUSE (Annual Survey of Unincorporated Sector Enterprises)** and **PLFS** rather than between extrapolations between the survey years.

5. Use of GST Data

It was so far being used in the quarterly accounts of GDP and GVA and only for some sectors in the annual data. In the new series, GST data will be used better to estimate the regional output of private corporations and will also be used to more accurately determine the contribution of value added by private companies to the GDP of the country.

FACTS FROM ECONOMIC SURVEY

Indicator	Detail
Real GDP Growth	Grew by 7.6% in Financial Year 2025-26
Nominal GDP Growth	Witnessed a growth of 8.6% in Financial Year 2025-26

GDP Growth Estimate (Advance)	India's GDP growth for FY26 is estimated at 7.4 per cent
Private Final Consumption Expenditure (PFCE)	Grew by 7.0% in FY26, reaching 61.5% of GDP - the highest since 2012 (FY23 also recorded 61.5% share)
Gross Fixed Capital Formation (GFCF)	Estimated at 30% of GDP in FY26 - investment has continued to anchor growth
Government Expenditure	Rise in effective capital expenditure to 4% of GDP; increased social service spending to 26.2% of total budget
Exports (H1 FY26)	Exports of goods and services grew by 5.9%, exceeding the growth seen in H1 of FY25
India's Gini Index	Stands at 25.5, making it the 4th most equal country in the world, after the Slovak Republic (24.1), Slovenia (24.3) and Belarus (24.4). Compare: UK (32.4), China (35.7), USA (41.8)

OTHER INDICATORS

Genuine Progress Indicator (GPI)

GPI is a metric suggested to replace or supplement GDP as a measure of economic growth. It measures whether the environmental impact and social costs of economic production and consumption in a country are negative or positive factors in overall health and well-being.

Green GDP

Green GDP is a term used generally for expressing GDP after adjusting for environmental damages such as biodiversity loss, climate change impacts, etc. It is an indicator of economic growth with environmental factors taken into consideration.

MAINS PRACTICE QUESTIONS

1. Define potential GDP and explain its determinants. What are the factors that have been inhibiting India from realizing its potential GDP?
2. Faster economic growth requires increased share of the manufacturing sector in GDP, particularly of MSMEs. Comment on the present policies of the Government in this regard.
3. Critically analyze the factors influencing the location of secondary sector industries in various parts of the world.

PREVIOUS YEARS' QUESTIONS

1. Which of the following activities constitute a real sector in the economy?
 1. Farmers harvesting their crops
 2. Textile mills converting raw cotton into fabrics
 3. A commercial bank lending money to a trading company
 4. A corporate body issuing Rupee Denominated Bonds overseas
 Select the correct answer using the code given below:
 (a) 1 and 2 only (b) 2, 3 and 4 only (c) 1, 3 and 4 only (d) 1, 2, 3 and 4
2. Increase in absolute and per capita real GNP do NOT connote a higher level of economic development, if
 - (a) industrial output fails to keep pace with agricultural output.

- (b) agricultural output fails to keep pace with industrial output.
 (c) poverty and unemployment increase.
 (d) imports grow faster than exports.
3. Which of the following statements are true regarding Gross National Income:
1. It is the income earned by a country's nationals.
 2. It is the income earned by a country's residents and non-residents both.
 3. It is calculated at market price by NSO.
 4. It is equal to GDP plus exports minus imports.
- Select the correct answer using the code given below:
 (a) 1 & 3 only (b) 1 & 4 only (c) 2 & 3 only (d) 2, 3 & 4 only
4. If a country is experiencing recession, then which of the following must be true:
- (a) Decrease in real GDP
 - (b) Decrease in nominal GDP
 - (c) Decrease in rate of growth of GDP
 - (d) All of the above
5. There is a Chinese company doing business in India. The profit made by the company will be part of:
1. India's GDP
 2. China's GNP
- Select the correct answer using the code given below:
 (a) 1 only (b) 2 only (c) Both 1 & 2 (d) Neither 1 nor 2
6. A 'closed economy' is an economy in which
- (a) the money supply is fully controlled
 - (b) deficit financing takes place
 - (c) only exports take place
 - (d) neither exports nor imports take place
7. Economic growth in country X will necessarily have to occur if
- (a) there is technical progress in the world economy
 - (b) there is population growth in X
 - (c) there is capital formation in X
 - (d) the volume of trade grows in the world economy
8. The substitution of steel for wooden ploughs in agricultural production is an example of
- (a) labour-augmenting technological progress
 - (b) capital-augmenting technological progress
 - (c) capital-reducing technological progress
 - (d) None of the above
9. Despite being a high saving economy, capital formation may not result in significant increase in output due to
- (a) weak administrative machinery
 - (b) illiteracy
 - (c) high population density
 - (d) high capital-output ratio

References

- NCERT Class 12 - Macro Economics Chapter 2: National Income Accounting
- Current Affairs
- Economic Survey